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LEAP

In 2004, three college sophomores arrived in Silicon Valley with their fledgling college social network. It was live on a handful of college campuses. It was not the market-leading social network or even the first college social network; other companies had launched sooner and with more features. With 150,000 registered users, it made very little revenue, yet that summer they raised their first \$500,000 in venture capital. Less than a year later, they raised an additional \$12.7 million.

Of course, by now you've guessed that these three college sophomores were Mark Zuckerberg, Dustin Moskovitz, and Chris Hughes of Facebook. Their story is now world famous. Many things about it are remarkable, but I'd like to focus on only one: how Facebook was able to raise so much money when its actual usage was so small.¹

By all accounts, what impressed investors the most were two facts about Facebook's early growth. The first fact was the raw amount of time Facebook's active users spent on the site. More than half of the users came back to the site every single day.² This is an example of how a company can validate its value hypothesis—that customers find the product valuable. The second impressive thing about Facebook's early traction was the rate at which it had taken over its first few college campuses. The rate of growth was staggering: Facebook launched on February 4, 2004, and by the end of that month almost three-quarters of Harvard's undergraduates were using it, without a dollar of marketing or advertising having been